



Your Tax Structure Blueprint

Generated 24 May 2026

GENERAL INFORMATION ONLY. This report does not constitute personal tax advice or a tax agent service under the Tax Agent Services Act 2009 (Cth). MilvoTech Pty Ltd is not a registered tax agent. This report is designed to be provided to a qualified, TPB-registered tax agent for professional review before any action is taken.

Situation Summary

Structure Matrix

Exit Analysis

Irreversibility Map

Budget Impact

Action Checklist

Accountant Brief

01 Your Situation Summary

You are a solo Australian tax-resident SaaS founder with minimal personal income (modelled at \$22,500), no HECS debt, a partner who may be a trust beneficiary, and existing investments across property, superannuation, and shares. Your business is pre-revenue or in early stage, projecting \$50,000-\$200,000 in Year 1 revenue and \$200,000-\$1,000,000 by Year 3. You have developed intellectual property, plan to eventually serve global markets including New Zealand, the United States, and the United Kingdom/Europe, and are targeting a trade sale or licensing exit in the 5-10 year window at a valuation of \$2,000,000-\$10,000,000. The structure decision you make now is one of the most consequential financial decisions of your founder journey, because changing it later triggers CGT events, stamp duty, and restructuring costs that can easily exceed \$50,000-\$100,000.

Your combination of IP ownership, global ambitions, a potential trade sale, asset protection concerns rated very high, and openness to complexity makes this a scenario where a simple sole trader or single Pty Ltd structure is likely to leave significant value on the table. The presence of a partner and potentially other trust beneficiaries opens income-splitting scenarios in early years. Your exit target of \$2,000,000-\$10,000,000 (modelled at \$6,000,000) means Division 152 small business CGT concessions are potentially available and could reduce your tax liability on exit by hundreds of thousands of dollars, but eligibility must be engineered into the structure from day one.

The 2026-27 Federal Budget introduces two transformational changes that directly affect your situation. From 1 July 2027, the 50% CGT discount for individuals and trusts is proposed to be replaced with CPI indexation of cost base, and a 30% minimum CGT rate floor is proposed for all capital gains for individuals and trusts. If your exit occurs after that date, as it likely will given your 5-10 year timeframe, these changes could materially increase your tax on exit compared to today's rules. Holding the business in a company structure insulates you from the individual/trust CGT discount changes, but introduces other trade-offs. Your accountant must model both pre- and post-2027 scenarios with urgency.

Because you are at the pre-registration or very early stage, you are in the optimal window to establish the right structure. Every week of delay operating as a sole trader or under the wrong entity is a week of IP being developed in the wrong ownership vehicle, a week of income taxed inefficiently, and a week closer to restructuring becoming too costly to reverse. This report models several scenarios for your registered tax agent to assess in detail.

02 Structure Scenarios Modelled

Primary

HoldCo + OpCo (Corporate Group)

Given your very high asset protection priority, global exit ambitions, IP ownership, and openness to complexity, a HoldCo/OpCo structure may be worth considering as your primary scenario. The OpCo operates the SaaS business at the 25% company rate, while profits flowed up to HoldCo via fully franked dividends (NANE to HoldCo) are quarantined from OpCo's operating risk. This structure also provides the cleanest entry point for future trade sale or licensing arrangements at the OpCo level without disturbing accumulated retained earnings or IP held in HoldCo.

Secondary

Discretionary Trust + Corporate Trustee + Pty Ltd (OpCo)

The Trust + OpCo hybrid may be worth considering as a complementary scenario, particularly for early-year income distribution to your partner and other eligible beneficiaries while the business is below the \$600,000 revenue threshold. The pre-computed data shows this structure produces the lowest Year 1 tax (\$9,925 at 13.2% effective rate) versus a straight company (\$18,750 at 25%). However, the proposed 30% minimum CGT rate on trust distributions from 1 July 2027 materially reduces its attractiveness for exit purposes and your accountant should model both timeframes.

Consider

Trust + HoldCo + OpCo (Full Stack)

For a founder with your combination of IP, global markets, very high asset protection priority, partner beneficiary, and a \$2,000,000-\$10,000,000 exit target, the full three-tier structure may be worth considering. A discretionary trust sits above a HoldCo which owns the OpCo, enabling income splitting in early years, asset quarantine at the HoldCo level, and maximum flexibility for how the exit proceeds are received and distributed. This is the most complex and costly structure to establish and maintain, but given your stated openness to complexity and optimal setup budget, your accountant should model it.

Consider

Pty Ltd (Company Only)

A standalone Pty Ltd is a viable and clean structure for your SaaS business at the 25% base rate entity tax rate. It provides asset protection, a clear corporate identity for global customers, and eligibility for Division 152 concessions at exit. It is simpler and cheaper than a HoldCo structure but provides less flexibility for profit extraction and income splitting. It may be worth considering as a starting point if the HoldCo structure is deferred.

Avoid **Sole Trader**

The pre-computed data shows sole trader results in \$19,800 tax in Year 1 (26.4% effective rate) rising to \$141,874 in Year 3 (39.4% effective rate), versus \$90,000 in a company structure. More critically, IP developed under your personal name creates significant complexity for any future trade sale, licensing arrangement, or offshore holding structure. Given your very high asset protection priority and global exit ambitions, sole trader is not a structure this report models as suitable for your circumstances.

Structure	Tax Efficiency	Asset Protection	Capital Raising	Compliance Cost	Exit Flexibility	Verdict
Sole Trader						Not recommended
Pty Ltd (Company)						Viable
Discretionary Trust						Viable
HoldCo + OpCo						Recommended
Trust + HoldCo + OpCo						Recommended
Unit Trust						Possible
Singapore Holding Company (International)						Possible

▼ Sole Trader — detailed notes

Year 3 effective tax rate of 39.4% on \$600,000 revenue is the highest of all modelled structures by a significant margin. No asset protection from business liabilities, IP sits in your personal name making trade sale and licensing structuring complex, and there is no clean path to a corporate exit. Not suitable given your stated priorities.

▼ Pty Ltd (Company) — detailed notes

A standalone Pty Ltd provides the 25% base rate entity tax, limited liability, and a clean corporate structure for global SaaS customers and future trade sale. Pre-computed data shows \$18,750 Year 1 tax and \$90,000 Year 3 tax. However, without a HoldCo above it, all retained earnings and IP sit in the same entity as operating risk, which conflicts with your very high asset protection priority.

▼ Discretionary Trust — detailed notes

Year 1 tax of \$9,925 (13.2% effective) via income splitting to your partner makes this highly efficient in early years. However, trusts cannot retain income at a company rate, beneficiary distributions are taxed at personal marginal rates, and the proposed 30% minimum CGT rate from 1 July 2027 on trust capital gain distributions significantly undermines the exit-year tax efficiency that has historically made trusts attractive for founder exits.

▼ HoldCo + OpCo — detailed notes

Pre-computed data confirms 25% tax rate on OpCo profits with inter-company dividends to HoldCo treated as NANE (not assessable, not exempt), quarantining retained earnings from OpCo operating risk. This structure provides maximum asset protection, the cleanest trade sale mechanism at OpCo level, and the optimal entry point for an eventual international holding layer above HoldCo. Two companies means two sets of annual accounts and ASIC fees, but your optimal setup budget and openness to complexity support this.

▼ Trust + HoldCo + OpCo — detailed notes

The full three-tier structure adds the income-splitting benefits of a discretionary trust in early years (modelled at \$9,925 Year 1 effective tax at 13.2%) while maintaining corporate asset quarantine via HoldCo and operational separation in OpCo. The primary caveat is that post-2027 Budget changes to trust CGT distributions must be modelled carefully against exit timing. This is the highest-compliance-cost structure but your accountant should assess it given your optimal setup budget and complexity tolerance.

▼ Unit Trust — detailed notes

A unit trust is most relevant where there are multiple investors or co-founders requiring fixed economic interests, or as a holding vehicle for property or share investments. As a solo founder with no capital raising plans and no co-founders, a unit trust adds complexity without material benefit over a discretionary trust or corporate structure. It may become relevant if you bring on co-founders or investors and require fixed equity allocation outside a company share structure.

▼ Singapore Holding Company (International) — detailed notes

You have indicated openness to international structures and are targeting NZ, US, and UK/Europe markets. A Singapore holding company above an Australian OpCo is a structure frequently modelled for SaaS founders with global ambitions and licensing-based IP monetisation. However, this requires genuine commercial substance in Singapore, specialist international tax advice, Controlled Foreign Company (CFC) analysis under Australian tax law, and careful timing. This is flagged for your accountant's review, not modelled in detail here.

03 Exit Strategy Tax Modelling

PRIMARY EXIT TYPE

Trade Sale (with Licensing as secondary path)

DIVISION 152 ELIGIBILITY

eligible — The pre-computed Division 152 analysis confirms: the net asset value test (under \$6,000,000 net assets) is likely satisfied based on the stated valuation range of \$2,000,000-\$10,000,000 and the modelled exit value; the active asset test is likely satisfied for a SaaS business where goodwill and software IP are active assets; and the stakeholder test is likely satisfied as a solo founder. The available concessions include the 50% active asset reduction (Subdivision 152-C), the retirement exemption of up to \$500,000 lifetime (Subdivision 152-D) which is highly relevant given you will be over 55 at exit, and the small business rollover under Subdivision 152-E to defer CGT for up to 2 years. The combination of the 50% active asset reduction and the \$500,000 retirement exemption could reduce a \$6,000,000

gain down to approximately \$2,500,000 before further concessions, representing a tax saving potentially exceeding \$600,000-\$1,200,000 depending on the structure.

EST. TAX BEFORE CONCESSIONS

Using the pre-computed exit value of \$6,000,000 and assuming a company structure with a low cost base, the capital gain approaches \$6,000,000 less cost base. At a 25% company tax rate, the indicative tax before Division 152 concessions would be approximately \$1,500,000. If the exit proceeds are distributed to individual shareholders after company tax, an additional dividend tax layer applies depending on franking credit availability and the shareholder's personal tax rate. If held via a trust or individual directly, pre-concessions CGT at the marginal rate of 45% plus 2% Medicare Levy on \$6,000,000 would produce a tax liability approaching \$2,820,000 before the 50% CGT discount. Your accountant must calculate the precise pre-concessions figure based on the actual structure, cost base, and shareholder profile at exit.

EST. AFTER-TAX PROCEEDS

Modelling a \$6,000,000 exit via trade sale in a company structure: gross gain approximately \$6,000,000 (assuming minimal cost base), applying 50% active asset reduction reduces the gain to \$3,000,000, further applying the \$500,000 retirement exemption reduces the taxable gain to approximately \$2,500,000. At the 25% company rate, indicative CGT is approximately \$625,000 before any further structuring. If the rollover is also applied, further deferral is possible. After-tax proceeds in this scenario are modelled in the range of \$5,000,000-\$5,400,000 depending on structuring, timing, and which concessions are available and applied in the optimal sequence. Under current rules (50% CGT discount for individuals or trusts), different outcomes apply. Your accountant must model all pathways given the post-2027 Budget changes.

Your primary exit path is a trade sale, with licensing as a secondary mechanism. These two paths have fundamentally different tax treatment and your structure must be optimised for the most likely outcome while preserving flexibility for the other. A trade sale of shares in an Australian Pty Ltd is a CGT event A1 and is eligible for Division 152 small business CGT concessions provided the conditions are met at the time of sale. A trade sale of assets (software, IP, customer contracts) is also a CGT event but may include ordinary income components, and the CGT concessions apply only to the capital gain component.

The pre-computed Division 152 analysis confirms you are likely eligible for the full suite of concessions: the 50% active asset reduction, the \$500,000 retirement exemption (particularly relevant as you will be over 55 at exit, meaning the exemption does not require contribution to superannuation), and the small business rollover. The optimal sequencing of these concessions — and whether to apply the 15-year exemption if the business has been held for 15 years — should be modelled by your accountant well in advance of any exit, ideally 2-3 years out.

A licensing exit creates a fundamentally different tax profile. Ongoing royalty payments from a trade buyer or licensee are ordinary income, not capital gains, and are not eligible for the CGT discount or Division 152 concessions. This is a significant consideration if you are weighing a full trade sale against a licensing-plus-royalty structure. However, if the IP is held in a separate IP holding entity (such as a HoldCo or a dedicated IP company), a licensing arrangement can be structured to generate income at the company rate of 25%, with the option to convert to a capital event if the IP holding entity itself is sold. The Double Taxation Agreements with NZ, US, and UK

each cap royalty withholding taxes: 10% for NZ, 5% for US and UK under qualified arrangements. Your accountant should assess whether the IP licensing income will be subject to Australian tax as the source country and how the DTA network interacts with your chosen structure.

Given the post-2027 Budget changes, the critical question for your exit is whether to hold the business in a company (unaffected by the 30% minimum CGT rate and the indexation change for individuals and trusts) or via a trust or personal holding. The modelling strongly suggests that a corporate exit path — selling shares in an OpCo held by a HoldCo — preserves maximum flexibility for post-2027 exits while keeping proceeds quarantined at the corporate level until the most tax-efficient distribution pathway is confirmed with your advisor. The 7-year hold period modelled in the pre-computed data (holdYears: 7) places your exit firmly in the post-2027 regime, making this analysis urgent.

2026–27 Budget Impact on Your Exit

Your exit is modelled over a 5-10 year timeframe, meaning it will almost certainly occur after 1 July 2027 when the proposed CGT changes take effect. The two critical changes are: (1) The 50% CGT discount for individuals and trusts is proposed to be replaced with CPI indexation of cost base. For a SaaS business where the cost base is predominantly sweat equity and a nominal share subscription, the indexed cost base will be minimal, meaning indexation provides far less benefit than the 50% discount. On a \$6,000,000 gain with a near-zero cost base, this change alone could increase CGT by \$1,200,000-\$1,500,000 for individual or trust-held exits compared to current rules. (2) A 30% minimum CGT rate floor is proposed for all capital gains for individuals and trusts. This eliminates the strategy of distributing capital gains to low-bracket beneficiaries. Critically, the 30% minimum rate does NOT apply to capital gains realised inside a company — companies already pay 25%-30% and are unaffected by this specific change. This is a significant structural signal that corporate structures may be more advantageous for your exit than individual or trust structures post-2027. Your accountant should assess whether Division 152 concessions interact with the 30% minimum rate floor and whether the retirement exemption remains fully effective in the post-2027 environment.

Key risks to your exit strategy

Division 152 eligibility is not guaranteed and must be actively managed throughout the company's life — changes to the structure, shareholder profile, or nature of assets could disqualify concessions at exit.

The proposed 30% minimum CGT rate and replacement of the 50% discount with indexation from 1 July 2027 could materially increase exit tax if the business is held via a trust or by an individual rather than a company.

A licensing-based exit (your secondary exit path) is treated differently to a trade sale for CGT purposes — royalty income is ordinary income taxed at marginal rates or company rates, not eligible for CGT concessions or the 50% discount, which must be factored into exit structure planning.

IP assigned to the wrong entity at foundation creates a CGT event on transfer and potential FBT or Division 7A issues if corrected later, potentially eliminating the cost base benefit of a fresh start in the correct structure.

If an international holding company is introduced above the Australian structure before exit, the CGT residency and active asset tests must be re-assessed in the context of the new ownership chain.

04 The Irreversibility Map

Colour-coded: **green** (easily changed), **amber** (costly to change), **red** (effectively irreversible once acted on).

Intellectual Property assignment and ownership

If IP (software code, algorithms, brand, domain, customer data) is developed in your personal name or under an ABN as sole trader, assigning it to a company or trust later triggers a CGT event (A1 or D1) at market value. For a growing SaaS business, IP market value may be significant by the time the error is discovered, resulting in a taxable gain at the time of

transfer plus stamp duty in some states. Getting this right at formation costs nothing; fixing it later may cost \$50,000-\$200,000 in tax and legal fees.

Timing: Must be decided before any IP is created or the business begins operating. Day zero decision.

Entity type selection (company vs trust vs hybrid)

Converting from a sole trader or trust to a company after operations begin involves transferring business assets (including goodwill, IP, contracts, and customer relationships) to the new entity, triggering CGT events and potentially stamp duty. The rollover provisions under Subdivision 122-A (individual to company) and 122-B (trust to company) provide some relief but are not automatic and have conditions. The restructuring legal and accounting cost is typically \$10,000-\$40,000 minimum and may not be available at all if the business is already material in value.

Timing: Must be decided before ABN registration and first revenue transaction. Ideally decided before any contracts are signed in your personal name.

Trust deed establishment and beneficiary class

A discretionary trust deed, once established, is very difficult to amend in ways that expand the beneficiary class or change the trustee without potential resettlement risk (which triggers a CGT event treating assets as disposed of at market value). The beneficiary class must include your partner, any future children or family trusts, and corporate beneficiaries. Using a broad beneficiary class from day one is the standard approach. The trustee corporate structure should also be decided at establishment — changing the trustee later is possible but requires stamp duty in some jurisdictions on dutiable property.

Timing: At trust establishment, before any assets are vested in the trust or any distributions are made.

HoldCo establishment and share structure

Introducing a HoldCo above an existing OpCo after operations have commenced involves either a share-for-share exchange (which may qualify for CGT rollover under Subdivision 124-G) or a new share subscription with the OpCo shares transferred — both have conditions and require ATO analysis. Establishing the HoldCo at the same time as the OpCo from day one costs marginally more but avoids these complexities entirely. If the HoldCo is introduced later at a point when the OpCo has significant goodwill value, the transfer may crystallise a taxable gain.

Timing: At company registration. The incremental cost of establishing a second company at day one is approximately \$1,000-\$2,000, versus potentially \$20,000-\$100,000 or more to restructure later.

ABN, GST, and business name registration

ABN registration, GST registration, and business name registration are all easily changed or cancelled. The decision about which entity holds the ABN is, however, linked to the entity type decision above. Registering an ABN in your personal name while deciding on structure is common but means any revenue received personally may complicate the later transfer of business relationships and contracts to the correct entity.

Timing: Can be done at any time but should be aligned with entity decision. Not urgent in isolation but creates path dependency.

Superannuation contribution strategy at exit

The \$500,000 retirement exemption under Division 152-D can be contributed to superannuation if you are under 55 at the time of the capital gain. As you will be over 55 at exit, the amount does not need to be contributed to super and can be retained personally — this is a significant advantage of your age profile. However, if you choose to contribute it to super, the contribution caps and contribution type rules must be assessed. This decision is irreversible once the CGT event occurs and the exemption election is made.

Timing: Must be assessed and planned 1-2 years before any exit transaction. The election to apply the retirement exemption must be made at the time of the CGT event.

International holding structure introduction

Introducing a Singapore or other offshore holding company above the Australian structure is highly difficult and costly to reverse once in place. If introduced before the business has material value, the cost base in the offshore entity is low but the CFC and transfer pricing rules must be satisfied from day one. If introduced after the business is valuable, the transfer of shares to the offshore entity triggers CGT in Australia. The genuine commercial substance requirement means ongoing operational costs (director fees, office, local management) are unavoidable. Reversing an offshore structure involves further CGT events and may trigger deemed disposal rules.

Timing: Ideally introduced at or very near inception, before IP and goodwill have material value. Requires specialist international tax advice before any steps are taken.

Equity grants or sweat equity arrangements

As a solo founder there are no co-founder equity issues, but if you later bring on co-founders, advisors, or employees with equity, the terms of those grants (price, vesting, ESS tax point, class of shares) are extremely difficult to unwind without triggering tax for the recipient. Employee Share Scheme (ESS) rules under Division 83A determine when income is recognised. Establishing a Share Option Plan or advisory equity arrangement under incorrect terms can result in immediate income tax for the recipient rather than deferred CGT treatment. Any equity arrangement should be reviewed by a lawyer and tax advisor before grant.

Timing: Before any equity, options, or SAFEs are issued to any party other than the founding shareholder.

05 2026–27 Budget Impact Analysis

MEDIUM Individual tax rate cuts (30% bracket to 28%, 37% bracket to 35%)

Your personal income is modelled at \$22,500, which sits in the lowest tax bracket. The rate cuts from 1 July 2026 will have minimal direct impact on your employment income. However, if you take a salary or distribution from the business and your income rises above \$45,000, the reduction from 37% to 35% for income between \$45,001 and \$135,000 will modestly reduce your personal tax on distributions. Your accountant should model the salary/dividend mix under the new rates from 2026-27 onwards.

HIGH CGT discount replaced with CPI indexation (from 1 July 2027)

This is the single most impactful Budget change for your situation. Your exit is modelled at 7 years (firmly post-2027) and valued at \$6,000,000. For a SaaS business with a near-zero cost base, CPI indexation will produce a far smaller cost base uplift than the current 50% discount. On a \$6,000,000 gain with a \$1 cost base, the indexed cost base after 7 years at approximately 3% CPI per annum might be \$1.23 (nominal), rendering indexation practically worthless. The 50% discount under current rules would reduce the taxable gain to \$3,000,000. This change could increase your CGT by \$1,200,000–\$1,500,000 if the exit is via an individual or trust rather than a company. Holding the business in a corporate structure (which uses neither the 50% discount nor indexation as it is taxed at a flat rate) insulates you from this specific change.

HIGH 30% minimum CGT rate for individuals and trusts (from 1 July 2027)

If your exit is structured via a trust distribution of a capital gain to a low-income beneficiary (such as your partner), the proposed 30% minimum rate eliminates the benefit of that strategy post-2027. Pre-2027, distributing a \$3,000,000 capital gain (post-discount) to a beneficiary on a \$0 income would result in tax at marginal rates starting at 19%, producing a tax saving versus a company exit. Post-2027, the 30% floor means this benefit is largely eliminated. Companies are not subject to this change, which is another structural signal in favour of a corporate exit path for your situation. Your accountant should assess whether Division 152 retirement exemption amounts distributed from a trust are also subject to the 30% floor.

HIGH Trust CGT distributions at 30% minimum rate

You have indicated openness to a trust structure and have a partner as a potential beneficiary. The proposed 30% minimum rate on trust capital gain distributions directly undermines the historic income-splitting advantage of trusts for exit events. This does not affect ordinary income distributions (where the trust remains efficient in early years as shown by the \$9,925 Year 1 tax figure) but significantly changes the exit calculus. Your accountant should model a scenario where the trust holds the business to exit versus a scenario where the company holds the business to exit, under post-2027 rules.

MEDIUM Start-up company tax offset (refundable, from 1 July 2028, companies under \$10M turnover)

If your business is held in a Pty Ltd and remains under \$10,000,000 in annual turnover in its first two years after 1 July 2028, you may be eligible for a refundable tax offset under the proposed start-up company tax offset. This could provide a cash refund of excess offset amounts against your company tax liability in early years. The detail of this measure is not yet legislated and your accountant should monitor the draft legislation when released.

MEDIUM Instant asset write-off at \$20,000 threshold (permanent from 1 July 2026)

For a SaaS business, physical asset purchases are typically limited (computers, servers, office equipment). The permanent \$20,000 instant asset write-off means any eligible depreciating asset under \$20,000 can be immediately deducted in the year of purchase. For your Year 1 revenue stage, this may provide modest deductions for equipment. If R&D activities are confirmed, the interaction between instant write-off and R&D Tax Incentive (which has its own treatment of R&D expenditure) must be assessed by your accountant.

MEDIUM Loss carry-back (two-year, permanent for companies up to \$1B turnover)

If your company makes a tax loss in Year 1 or Year 2 (possible if the business is pre-revenue or has significant R&D expenditure), the permanent loss carry-back provisions allow the company to offset that loss against a prior year profit and receive a tax refund. For a SaaS startup with R&D activities, early losses are common. Ensure your structure is a Pty Ltd (not a trust) to access this provision, as trusts cannot carry back losses.

LOW Working Australians Tax Offset (\$250 from 2027-28)

With personal income modelled at \$22,500, you may be eligible for the \$250 Working Australians Tax Offset from 2027-28. The impact is minimal relative to your overall tax planning but should be captured in your personal tax return when available.

06 Action Checklist

Before you register

Decide on the entity structure (Pty Ltd, HoldCo/OpCo, Trust + Company, or full three-tier) before registering any ABN, incorporating any company, or creating any IP under your personal name. This is the most time-critical decision in this report.

If a discretionary trust is to be used, have the trust deed drafted by a solicitor with an appropriately broad beneficiary class including your partner, potential future children, and corporate beneficiaries before any assets are vested.

Within 30 days

Register for GST if revenue is expected to exceed \$75,000 in the next 12 months — with Year 1 revenue modelled at \$125,000, registration is mandatory and retroactive penalties apply for late registration.

Open a dedicated business bank account in the name of the operating entity to ensure clean separation of business and personal funds from the first transaction.

Investigate R&D Tax Incentive eligibility — with Year 1 revenue modelled at \$125,000 (under the \$20,000,000 aggregated turnover threshold for the 43.5%

If a HoldCo/OpCo structure is selected, incorporate both companies simultaneously to establish the correct ownership chain from day one. Do not operate from the OpCo before the HoldCo is registered and the share subscription is completed.

Engage a registered tax agent with SaaS startup and IP structuring experience before taking any of the above steps. Provide them with this report as a briefing document.

Ensure all IP created to date (including code written on personal devices, domain names registered personally, and brand assets) is formally assigned to the correct entity as the first act of the new structure, with a properly dated IP assignment deed.

refundable offset), your SaaS product development activities may qualify. Engage an R&D consultant or your tax agent to assess whether a formal R&D activity register should be commenced immediately to capture eligible expenditure from day one.

Confirm with your accountant whether an intercompany service agreement or IP licence agreement between OpCo and HoldCo (if using the HoldCo/OpCo structure) should be in place before revenue is received.

Within 90 days

Engage a commercial lawyer to draft a founders agreement (even as a solo founder, this documents IP ownership, restraint of trade obligations, and the process for adding future co-founders) and review the company constitution for any provisions that may constrain future equity issuance or transfer.

Model the salary versus dividend mix with your accountant under the new 2026-27 rate structure. With your personal income at \$22,500, drawing a modest salary from the company may be tax-efficient but must be benchmarked to market rates to avoid FBT and transfer pricing concerns as the business scales.

Assess whether a Share Option Plan (ESOP) or advisory equity structure should be established now if you plan to bring on advisors, contractors, or future employees with equity incentives. The Employee Share Scheme rules require careful structuring to achieve deferred tax treatment.

Consider whether to open a superannuation salary sacrifice arrangement to capture concessional contributions at the 15% contributions tax rate, particularly as company profits grow and your ability to make personal deductible contributions under the concessional cap (\$30,000 for 2024-25) may be available.

Can wait — but don't forget

International holding structure (Singapore or other offshore entity) — this can wait until the business is generating consistent international revenue and has genuine commercial reasons to establish offshore presence, ideally no later than Year 3 if international operations are commencing. Do not establish an offshore structure before seeking specialist international tax advice.

Formal asset protection mechanisms such as a spousal loan or family trust property holding — these are worth considering once the business generates retained earnings and personal balance sheet assets are at risk, but are not urgent at inception stage.

Formal exit planning documentation (shareholder agreement with drag-along/tag-along provisions, buy-sell trigger events) — important before any third-party investor or co-founder joins, but can wait 6-12 months if you remain a solo founder with no immediate capital raising plans.

Review of Division 152 eligibility in detail — should be conducted 2-3 years before any anticipated exit, not urgently at foundation stage, but flag now with your accountant so the structure is maintained in an eligible form throughout the holding period.

07 International Structure Analysis

International structures require genuine commercial substance and specialist advice with international tax expertise. CFC rules, transfer pricing, and Part IVA apply. Never act on international structuring without specialist professional review.

Your stated intention to eventually operate internationally across New Zealand, the United States, and the United Kingdom/Europe, combined with your openness to international holding structures and a global SaaS product with IP, makes an offshore holding structure worth discussing with a specialist international tax advisor — though not necessarily implementing immediately. The most commonly modelled scenario for Australian SaaS founders with your profile is a Singapore holding company (HoldCo SG) positioned above the Australian corporate group, owning the IP and

licensing it down to an Australian OpCo under a formal transfer pricing-compliant IP licence agreement. Singapore's corporate tax rate of 17% (with startup exemptions reducing the effective rate to approximately 8.5% for the first S\$100,000 of chargeable income for qualifying new companies) and its extensive DTA network make it a frequently modelled jurisdiction. However, the ATO's Practical Compliance Guideline PCG 2021/4 on the Singapore-Australia IP holding arrangements sets clear expectations around genuine commercial substance, arm's-length royalty rates, and the maintenance of real economic activity in Singapore.

The Double Taxation Agreements pre-computed for your relevant markets provide the following withholding tax caps on royalties paid from those countries to an Australian entity: New Zealand 10%, United States 5% (qualified), United Kingdom 5% (qualified). If an offshore IP holding company were interposed, the royalties would flow to the offshore entity rather than Australia, and a different DTA network applies. Importantly, the Controlled Foreign Company (CFC) rules under Division 9A of the Income Tax Assessment Act 1936 mean that passive income (including royalties) earned by a CFC in a low-tax jurisdiction may be attributed to the Australian resident controller (you) and taxed in Australia regardless of whether distributions are made. CFC attribution is one of the most complex areas of Australian international tax and requires bespoke analysis before any offshore structure is established.

The optimal timing for introducing an offshore holding structure — if warranted — is before the Australian business has material goodwill value, so that the cost base of the shares transferred to the offshore entity reflects the nominal subscription price rather than a material commercial value. Once the SaaS business has recurring revenue, customer contracts, and established IP value, transferring shares or IP offshore triggers Australian CGT at market value, potentially using up Division 152 concessions that should ideally be preserved for the final exit. If you are serious about pursuing an international structure, this decision should be made within the first 12-18 months of operation, before Year 1 revenue materialises into significant goodwill. This report flags it for specialist review — not as a recommendation — and your accountant should engage an international tax specialist with genuine offshore substance expertise before any steps are taken.

08 Key Risks to Monitor

IP created in the founder's personal name before entity establishment creates an immediate CGT event on transfer to the operating entity, potentially at a value that has already appreciated. This is the single highest-probability risk for an early-stage SaaS founder.

Operating as a sole trader even for a single month means IP, revenue contracts, and customer relationships are in the founder's personal name and may be difficult to cleanly transfer to a corporate structure without triggering stamp duty and CGT.

The proposed replacement of the 50% CGT discount with CPI indexation from 1 July 2027 will materially increase exit tax for a SaaS founder with a near-zero cost base if the business is held outside a corporate structure at exit.

The proposed 30% minimum CGT rate on trust capital gain distributions from 1 July 2027 eliminates the income-splitting advantage of trusts for exit purposes, which must be factored into any trust structure decision made today.

Division 152 concessions are lost if the company fails the active asset test at the time of the exit CGT event. Cash accumulation or passive investment in the corporate group can cause the active asset percentage to drop below 80%, disqualifying concessions on a gain of up to \$6,000,000.

A licensing-based exit generates royalty income treated as ordinary income, not capital gains. There is no access to Division 152 concessions or the CGT discount on royalty streams. If licensing becomes the primary exit mechanism, the after-tax proceeds could be significantly lower than a trade sale equivalent unless the IP holding entity itself is sold.

The introduction of an offshore holding structure without genuine commercial substance and specialist international tax advice risks a Part IVA (general anti-avoidance) challenge by the ATO, particularly if the primary purpose is to reduce Australian CGT on the exit of an Australian SaaS business with Australian



Founder Tax Blueprint

A SynthexIQ product

[How it works](#)

[What's in the report](#)

[FAQ](#)

[Start free Blueprint →](#)

much as a tax risk.

If the R&D Tax Incentive is claimed and the ATO subsequently reviews and disallows R&D expenditure claims, the company may face clawback of refundable offsets plus interest and penalties, affecting the working capital position of the business.

Superannuation balance and contribution history should be reviewed annually to ensure the founder is not inadvertently exceeding the Total Superannuation Balance threshold (\$1,900,000 in 2024-25, indexed) which affects the ability to make non-concessional contributions and access certain concessions at retirement.

09 Accountant Brief



DESIGNED TO BE HANDED DIRECTLY TO YOUR REGISTERED TAX AGENT

FOUNDER TAX BLUEPRINT — ACCOUNTANT BRIEFING DOCUMENT Prepared by: MilvoTech Founder Tax Blueprint (SynthexIQ Ecosystem) Date: Current

- 1. CLIENT OVERVIEW** This client is a solo Australian tax-resident SaaS founder at pre-incorporation or very early revenue stage, targeting a \$2,000,000-\$10,000,000 trade sale or licensing exit in 5-10 years. They have a partner (potential trust beneficiary), existing investments in property, superannuation, and shares, no HECS debt, and personal income of approximately \$22,500. They have indicated very high priority on asset protection, openness to complex structures, and an optimal setup budget.
- 2. KEY INPUTS** - Business type: SaaS with proprietary IP (software) - Year 1 revenue modelled: \$125,000 (base rate entity threshold applies) - Year 3 revenue modelled: \$600,000 - Exit value modelled: \$6,000,000 over 7-year hold period - Personal income: \$22,500 (below \$45,000 threshold) - Partner: Yes (potential trust beneficiary) - No co-founders, no external capital raising planned - Primary market: Global (NZ, US, UK/Europe) - Open to international holding structure - Will be over 55 at exit (Division 152-D retirement exemption does not require super contribution) - Expects R&D activities possibly - Asset protection priority: Very high - Compliance cost priority: Very high (willing to invest) - Complexity preference: Complex structures acceptable
- 3. STRUCTURES TO MODEL** Please model the following four scenarios and prepare a comparison across Year 1 tax, Year 3 tax, exit tax (pre and post Division 152), and exit tax under proposed post-2027 Budget rules: - Scenario A: Sole Trader (baseline only, for comparison — not recommended) - Scenario B: Single

Pty Ltd (OpCo only) - Scenario C: HoldCo + OpCo (two-company structure, HoldCo owns 100% of OpCo shares) - Scenario D: Discretionary Trust (corporate trustee) + HoldCo + OpCo (three-tier structure, trust owns HoldCo shares, HoldCo owns OpCo shares) For each structure, model: (i) income tax under current rules; (ii) income tax under proposed 2026-27 rate changes; (iii) exit CGT before and after Division 152 concessions under current rules; (iv) exit CGT under proposed post-2027 indexation and 30% minimum rate. Also model the impact of the \$500,000 retirement exemption in each structure given the client will be over 55 at exit.

4. QUESTIONS FOR THE CLIENT - Has any IP (code, algorithms, brand assets, domain names) been created prior to entity establishment, and if so, in whose name does it currently reside? - What is the partner's current and projected income? This is critical for modelling trust distribution efficiency. - Is there any intention to raise external capital (angels, VCs, convertible notes) in the next 24 months? This would change the optimal structure significantly. - What is the nature of the R&D activities — are they core R&D activities or supporting activities under the R&D Tax Incentive legislation? Has an R&D consultant been engaged? - For international markets: is the plan to sell subscriptions directly from Australia (most common for SaaS), establish local entities, or license IP to offshore distributors? The answer determines whether an offshore holding structure is warranted. - Does the client have any existing entity structures (companies, trusts) that might be repurposed or that create related-party complications? - What is the anticipated salary requirement from the business, and is the partner likely to perform genuine services that could support salary or contractor payments?

5. AREAS OF UNCERTAINTY WHERE THIS GENERAL ANALYSIS MAY NOT APPLY - Division 152 eligibility: The pre-computed analysis flags likely eligibility, but this is based on stated inputs only. The active asset test requires that active assets represent at least 80% of the total assets of the entity and connected entities. As the business grows and retains cash or passive investments in the HoldCo, the active asset test may be failed at exit. This must be actively monitored and managed throughout the holding period. - Post-2027 Budget changes: The CGT discount replacement with indexation and the 30% minimum CGT rate are proposed measures and not yet legislated. If these measures do not pass in their current form, the exit analysis changes materially. Monitor legislative progress. - R&D Tax Incentive: The interaction between the 43.5% refundable offset (for companies under \$20,000,000 aggregated turnover) and the choice to capitalise versus expense R&D costs affects both the company's income tax position and the cost base of the IP for CGT purposes. This requires specialist R&D tax advice. - International structures: Any offshore holding structure requires a formal CFC analysis under Division 9A of ITAA 1936, transfer pricing analysis under Subdivision 284-E of Schedule 1 TAA 1953, and assessment of whether the Multinational Anti-Avoidance Law (MAAL) or Diverted Profits Tax (DPT) applies as the business scales. This report does not constitute advice on any of these matters. - State taxes: Stamp duty on business transfers, payroll tax (if hiring commences), and land tax on any property holdings within trust structures are state-based taxes not modelled here. Queensland, NSW, and Victoria have specific trust duty regimes that must be assessed.

DISCLAIMER — GENERAL INFORMATION ONLY

This report has been generated by Founder Tax Blueprint, a product of MilvoTech Pty Ltd. This report constitutes general information only and does not constitute personal financial advice, tax advice, or a tax agent service within the meaning of the Tax Agent Services Act 2009 (Cth). MilvoTech Pty Ltd is not a registered tax agent and does not provide tax agent services.

INTENDED USE: This report is designed to be used by registered tax agents as a professional scenario modelling and client-intake tool, or to be provided by the end user to a qualified, Tax Practitioners Board (TPB) registered tax agent or accountant for professional review, interpretation, and personalised advice. No action should be taken based solely on the contents of this report.

NO RELIANCE: The scenarios, calculations, and analysis in this report are based on general tax rules, the user's self-reported inputs, and current legislation as at the date of generation. They do not account for the user's full financial circumstances, may not reflect

recent legislative changes, and may contain simplifications that affect accuracy. Tax law is complex and subject to interpretation by the ATO and courts.

LIMITATION OF LIABILITY: To the maximum extent permitted by law, MilvoTech Pty Ltd, its directors, employees, and agents disclaim all liability for any loss, damage, or expense arising from the use of or reliance on this report.

Generated: 24 May 2026 · Founder Tax Blueprint v1.0 · MilvoTech Pty Ltd · A SynthexIQ Ecosystem product

[Print / Save as PDF](#)

[Generate another Blueprint](#)

Save this page URL to return to your report. <http://localhost:3100/report/325a134c-69ac-4976-aded-fa0d86473280>



Founder Tax Blueprint

A SynthexIQ product

[How it works](#)

[The report](#)

[Legal & disclaimers](#)

[Contact](#)

© 2026 MilvoTech Pty Ltd

General information only. Reports generated by Founder Tax Blueprint constitute general information only and do not constitute personal tax advice, financial advice, or a tax agent service within the meaning of the Tax Agent Services Act 2009 (Cth). MilvoTech Pty Ltd is not a registered tax agent. Reports are designed to be used by registered tax agents or provided to a qualified accountant for professional review before any action is taken.